CHAPTER 9

Real Estate Investments

KEY CONCEPTS

- Real estate is a separate asset class from stocks and bonds.
- Real estate investment trusts (REITs) are a convenient way to invest in real estate.
- REITs have low correlation with common stocks and bonds at times.
- Home ownership provides both a place to live and potential gains.

One of the great insights of modern portfolio theory is that holding low-correlated asset classes in a portfolio and rebalancing periodically reduces total portfolio risk and increases long-term returns. Real estate is one of the few asset classes that has exhibited low correlation with stocks and bonds over extended periods of time. A well-diversified portfolio that holds real estate investments alongside stock and bonds has provided superior portfolio returns over one that does not include real estate. This was true even during the poor real estate market that occurred in the mid-2000s.

Investment real estate has two returns: an income component and a growth component. The Brandes Investment Institute and Prudential Financial, in collaboration with Professor Elroy Dimson of the London Business School, conducted a study of the long-term returns on U.S. real estate investments.[1] Dimson found that the long-term return on U.S. real estate has been on a par with the return on the U.S. stock market since the 1930s, as Table 9-1 shows. The study has not been updated through 2009, and real estate values have declined since 2004 by about 10 percent cumulatively. I took the liberty of making that adjustment in the long-term real estate return number in Table 9-1.

Further analysis of the Dimson data shows that the income return component from rents has been very consistent over the decades. Table 9-2 measures the average income return from real estate investments at about 7 percent, plus or minus 1 percent per decade. The 2000–2004 partial decade